

Course No: BCC 102
Course Title: Basic Accounting
Marks: 100
Credit: 3.00 hours
(Written: 75, Internal Evaluation: 20 and Viva: 05)

Course Objectives:

The objective of this course is to develop the students' understanding of whole accounting process and application of conceptual framework for the same, in-order to create their abilities to apply such concepts and principles in preparation and presentation of financial statements in accordance with identified financial reporting framework..

Course Contents:

- 1. Introduction to Financial Accounting: Background of Accounting Development:**
Definition-The purpose and Nature of Accounting Information- the Work of Accountants –Branches of Accounting- the Need for Accounting Concepts and Principles- Professional Associations-Generally Accepted Accounting Principles (GAAP) - Capital and Revenue Receipts & Expenditures- Introduction to International Accounting Standards (IASs) and International Financial Reporting Standards (IFRS) issued by International Accounting Standards Boards (IASB).
- 2. Recording Process of Economic Events: Rules of Accounting Records - Accounts classification of accounts-Debit and Credit-the Principles of Double Entry - Accounting Equation - Journal- Ledger- Coding and Chart of Accounts- Posting in the Ledger Accounts- Trial Balance - purpose -Limitations of Trial Balance - Locating Errors- Adjusting Entries- Rectification of the Errors before and after preparation of Trial Balance.**
- 3. Completing the Accounting Cycle and Worksheet: Use of Work Sheet-Preparation of Work Sheet- Closing entries for revenue and expenses accounts- Post closing trial balance-Opening entries-Reversing entries.**
- 4. Accounting for Merchandising Operations and Accounting System: Merchandising operations- Recording purchase and sales of merchandise under perpetual & periodical inventory system - Completing the accounting cycle- The Voucher System-Voucher Forms-the Voucher Register-Vouchers Payable Subsidiaries-Paid Voucher Files, Operating General Ledgers and Subsidiary Ledgers: Control Accounts-Subsidiary Ledger Accounts- Subsidiary Ledgers. Special Journals: Advantages of Special Journals- Cash Receipts Journal-Sales Journals-Purchase Journal- Cash Payments Journal and General Journal.**
- 5. Preparation and Presentation of Financial Statements: Preparation of Financial Statements. Multiple-step, income Statement - Single-step income Statement- Classified Balance Sheet-Horizontal and Vertical Arrangement of Financial statements. Preparation and presentation of Financial Statement as per IAS-1: Presentation of Financial Statement**
- 6. Preparation and Presentation of Cash Flow statement, Value Added Statement and other Supplementary Statements:**

(a) Cash Flow Statement: Definition -Basic objectives, forms benefits, purposes and limitations - Requirements of Companies Act, 1994 and the Securities and Exchange Rules, 1987 for the preparation of cash flow statement, IAS 7: Cash Flow Statement.

(b) **Value Added Statement and Economic Value Added:** Definition– Objectives- Importance of Form– Different Concepts of Value Additives- Preparation of Value added statement and Economic Value Added statement.

(c) **Other Supplementary Statements:** Statement of accounting policies-principles and assumptions-Fixed Assets Schedule and other supplementary statements and disclosures, IAS: 8: Accounting policies, changes in Accounting Estimates and Errors.

7. **An Overview of Automated Accounting System:** Concept of Automated Accounting System, Importance of Automated Accounting System, Automated vs. manual accounting system, Impacts of Automated Accounting System in Business enterprise, Conversion of manual accounting system to Automated Accounting System and Automated Accounting System in Enterprise Resources Planning.

Basic Text:

1. Weygandt, Kieso and Kimmel, Accounting Principles (Latest edition).

Reference Books:

1. John J. Wild and Ken W. Shaw, Fundamentals of Accounting Principles. McGraw Hill Education
2. M. C. Shukla, T.S. Grewal & S.C. Gupta, Advanced Accountancy.
3. P.E. Fess & C.R. Niswonger, Accounting Principles.
4. Basu and Das, Principles & Practices of Accountancy.